HOUSE BILL 1681
By Reeves

SENATE BILL 1766

By Pody

AN ACT to amend Tennessee Code Annotated, Title 7; Title 9; Title 12; Title 13; Title 66; Title 67 and Title 68, relative to infrastructure development districts.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 7-84-804, is amended by deleting the second sentence and substituting:

This part does not affect the operation and effect of chapters 32 and 33 of this title, and parts 1-7 of this chapter, which continue in full force and effect as separate and independent authority for the establishment and governance of a central business improvement or infrastructure development district.

SECTION 2. Tennessee Code Annotated, Section 7-84-811, is amended by deleting subsection (a) and substituting:

(a) Upon the filing of an initiating petition, each governing body of a host municipality required to receive filing of such petition must order a public hearing by the governing body to determine whether the infrastructure development district will be established.

SECTION 3. Tennessee Code Annotated, Section 7-84-811, is amended by deleting subsection (b) and substituting:

(b) Notwithstanding subsection (a), when a district must be approved by two (2) or more host municipalities, the governing bodies may hold one (1) or more joint public hearings, or the governing bodies may hold separate public hearings when a governing body makes approval contingent on the approval of another governing body.

SECTION 4. Tennessee Code Annotated, Section 7-84-814, is amended by deleting subdivision (7) and substituting:

(7) The maximum rate of levy of the special assessment that may be imposed;

SECTION 5. Tennessee Code Annotated, Section 7-84-815, is amended by deleting subsection (d) and substituting:

(d) The maximum term of any bonds, notes, or other debt obligations issued pursuant to this section to fund the costs of infrastructure, including any refinancing bonds, must not exceed thirty (30) years from the first issuance of bonds, notes, or other debt obligations for the purpose of funding infrastructure. For development projects with multiple phases of development, bonds may be issued for each phase of the development and each phase must not exceed thirty (30) years from date of issuance of the bonds for that phase.

SECTION 6. Tennessee Code Annotated, Section 7-84-817, is amended by deleting subsection (f) and substituting:

(f) Notwithstanding this part to the contrary, an establishment resolution may provide that a portion of special assessments be set aside for the actual cost of administrative expenses, including expenses incurred by the host municipality and the officers of the municipality, including the assessor of property, trustee, or other tax collecting official, in administering the collection and allocation of special assessments, including a reasonable allocation of overhead expenses.

SECTION 7. Tennessee Code Annotated, Section 7-84-827, is amended by deleting the language:

Each district established pursuant to this part must be dissolved by the governing bodies of the host municipality, no later than thirty (30) years from the date the district is established, or if earlier, immediately upon:

and substituting:

Each district established pursuant to this part must be dissolved by the governing bodies of the host municipality no later than thirty (30) years from the date that the last assessment is first levied, or if earlier, immediately upon:

SECTION 8. This act takes effect upon becoming a law, the public welfare requiring it.